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India's Next Earnings Wave

Telecom, steel, oil & gas, travel, power, and financial services could propel the next phase of earnings growth

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IN INVESTING, THE relationship

between company performance and shareholder returns is rarely straightforward. Earnings growth, while critical, does not always translate into stock market gains.

To understand the earnings potential, it helps to look at the journey corporate India has taken over the past decade. Today, companies are better capitalised, and governance standards stronger.

Supporting the renewed strength are powerful tailwinds. Policy continuity, rapid digital adoption, and rising consumer aspirations are converging to create a durable growth runway. Structural reforms such as GST are simplifying compliance. Infrastructure upgrades and shifts in global supply chains are adding further momentum.

Together, these shifts present opportunities and pose questions. The opportunities lie in the sectors poised to drive India's next earnings cycle. When and at what price investors choose to participate will determine how much of this growth translates into returns.

Here are a few sectors that could shape India's next earnings wave:

TELECOM

Data is the new oxygen of the economy. While tariff hikes have slowed subscriber growth, they also signal a crucial pivot towards profitability.

Telecom is no longer a volume story; it is becoming a value story. New trends are putting the sector

stable. Pricing reforms, especially in domestic gas, have improved predictability. Formula-based pricing linked to the Indian crude oil basket has enhanced earnings visibility, while refining margins remain resilient, supported by sustained demand and global capacity dynamics. The risk factors include



INVESTING IS NEVER JUST ABOUT SECTORS; IT IS ALSO ABOUT VALUATION DISCIPLINE

on a more durable growth trajectory supported by healthy margins. The risk factor here is that incremental profitability hinges on tariff hikes. With valuations elevated, the point of investment will be the key.

OIL & GAS

The oil and gas sector, long considered volatile, is becoming more

global crude oil price volatility and subsidy policies.

TRAVEL & LEISURE

Few sectors capture India's changing consumption patterns as vividly as travel. Domestic air traffic reached 165.4 million passengers in FY25, surpassing pre-pandemic levels. Hotels are enjoying healthy occupancies, while airport infra-